QP Code:25901277

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION – March 2026

Fourth Semester

Value Addition Course (VAC) – MG4VACFTQ200 – ENTREPRENEURSHIP DEVELOPMENT

(2024 Admission Onwards)

Duration: 1 hour 30 minutes **Maximum Marks:** 50

Cognitive Levels: *Remember (K), Understand (U), Apply (A), Analyse (An), Evaluate (E), Create (C), Skill (S), Interest (I), Appreciation (Ap)*

Part A – Short Answer Type

Answer any 5 questions

Each question carries 2 marks

1. What is the importance of communication skills in EDP? [K] / [CO1]

Communication skills are essential in Entrepreneurship Development Programmes (EDP) as they help entrepreneurs effectively convey ideas, negotiate with stakeholders, manage teams, and build strong customer relationships.

2. What is bridge capital? [U] / [CO2, CO3]

Bridge capital refers to short-term financing provided to a business to meet immediate financial needs until long-term funding is secured.

3. State the need for new products in business? [U] / [CO5]

New products are needed to meet changing customer demands, stay competitive, increase market share, and ensure business growth and sustainability.

4. What is a project report? [U] / [CO5]

A project report is a detailed document that outlines the objectives, feasibility, financial aspects, and implementation plan of a proposed business project.

5. What is crowdfunding? [E] / [CO1]

Crowdfunding is a method of raising funds for a project or business by collecting small amounts of money from a large number of people, typically through online platforms.

6. List two roles of government in entrepreneurial growth. [K] / [CO1]

1. Providing financial support through subsidies, loans, and grants.
2. Creating a favorable business environment through policies, infrastructure, and training programs.

7. Expand DICI. [K] / [CO4]

DICI stands for **Dalit Indian Chamber of Commerce and Industry**.

Part B – Short Essay Questions

Answer any 5 questions

Each question carries 4 marks

8. Describe cost-based and demand-based pricing approaches. [U] / [CO5]

- **Cost-based pricing:** Price is determined by adding a fixed profit margin to the total cost of production. Example: Cost-plus pricing.
- **Demand-based pricing:** Price is set based on consumer demand, willingness to pay, and perceived value of the product. Higher demand leads to higher pricing.

9. What is the significance of the Credit Guarantee Trust for Micro and Small Enterprises? [An] / [CO2, CO3]

The Credit Guarantee Trust for Micro and Small Enterprises (CGTMSE) provides collateral-free loans to MSMEs. Its significance includes:

- Reduces risk for lenders
- Encourages banks to finance small businesses
- Promotes entrepreneurship and MSME growth
- Supports first-time entrepreneurs without assets

10. Explain the challenges faced by first-generation entrepreneurs. [K] / [CO1]

- Lack of business experience and knowledge
- Difficulty in accessing finance
- Limited market exposure

- Absence of family business support
- High risk and uncertainty
- Lack of professional networks

11. Explain the concept of industrial promotion schemes. [K] / [CO1]

Industrial promotion schemes are government initiatives designed to encourage the establishment and growth of industries by providing incentives such as subsidies, tax benefits, infrastructure support, and training programs.

12. Explain the different types of entrepreneurs with examples. [K] / [CO1]

- **Innovative entrepreneur:** Introduces new products or ideas (e.g., tech startup founders).
- **Imitative entrepreneur:** Adopts existing ideas in a new way.
- **Fabian entrepreneur:** Cautious and resistant to change.
- **Drone entrepreneur:** Refuses to adopt changes even at losses.
- **Social entrepreneur:** Works for social welfare (e.g., NGOs).

13. Describe the factors affecting pricing decisions for new products. [U] / [CO5]

- Cost of production
- Market demand
- Competition
- Target customers
- Government regulations
- Brand image and positioning
- Distribution and promotional costs

14. Describe the concept of entrepreneurship. [K] / [CO1]

Entrepreneurship is the process of identifying business opportunities, organizing resources, taking risks, and creating value through innovation to establish and manage a business venture.

Part C – Long Essay Questions

Answer any 2 questions

Each question carries 10 marks

15. Discuss the key functions and qualities of successful women entrepreneurs. [K] / [CO1]

Key Functions:

- **Planning:** Setting business goals and strategies.
- **Organizing:** Arranging resources such as finance, manpower, and materials.
- **Decision-making:** Taking critical business decisions under uncertainty.
- **Leadership:** Managing and motivating employees effectively.
- **Marketing and financial management:** Ensuring profitability and sustainability.

Qualities of Successful Women Entrepreneurs:

- **Self-confidence and determination**
- **Risk-taking ability**
- **Innovative thinking**
- **Strong communication skills**
- **Adaptability and resilience**
- **Time management and multitasking ability**

Women entrepreneurs contribute significantly to economic development, employment generation, and social empowerment.

16. Explain the solutions to the problems of women entrepreneurs. [K] / [CO1]

- **Financial support:** Easy access to loans, subsidies, and microfinance schemes.
- **Training and skill development:** Entrepreneurship development programmes (EDPs) and technical training.
- **Government schemes:** Special incentives and policies for women entrepreneurs.
- **Market support:** Assistance in marketing, branding, and export promotion.
- **Networking opportunities:** Formation of women entrepreneur associations and self-help groups.
- **Awareness and education:** Promoting entrepreneurial mindset among women.
- **Work-life balance support:** Childcare facilities and flexible working conditions.

These measures help overcome barriers like lack of finance, social constraints, and limited exposure.

17. Discuss the features of margin money scheme. [U] / [CO2, CO3]

Margin money scheme refers to financial assistance provided to entrepreneurs to meet a portion of the project cost.

Key Features:

- Provides subsidy support to reduce the initial investment burden
- Helps entrepreneurs avail bank loans easily
- Applicable mainly to MSMEs and small-scale industries
- Margin money is linked to project cost and category of beneficiary
- Encourages self-employment and startup ventures
- Often non-refundable or treated as subsidy after certain conditions
- Promotes inclusive growth by supporting weaker sections

18. Discuss idea generation, screening, and concept development in detail. [U] / [CO5]

1. Idea Generation:

- Process of identifying new business opportunities
- Sources include market research, customer needs, technological advancements, and brainstorming
- Encourages creativity and innovation

2. Idea Screening:

- Evaluation of ideas to eliminate unfeasible ones
- Criteria include market potential, technical feasibility, financial viability, and risk
- Helps in selecting the most promising idea

3. Concept Development:

- Converting the selected idea into a detailed business concept
- Includes product design, target market identification, and value proposition
- Involves testing the concept with potential customers
- Forms the basis for business planning and project report preparation

These stages are crucial for reducing risk and ensuring the success of a new venture.